Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A [MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231]

Additional Disclosure

Year: Methodology Year: 2020
Question: Scenario Analysis
Include Modeled Score : Yes

Scenario Analysis

Question

Does your organization use climate-related scenario analysis to inform your business strategy?

Rationale

Today, many organizations are affected by climate change-related risks. However, the most significant effects of climate change are likely to emerge over the medium to longer term, while the precise timing and magnitude of these impacts remain uncertain. This uncertainty represents a challenge for organizations and investors to understand the potential effects of climate change on their businesses, strategies, and financial performance. To appropriately incorporate these potential impacts in their planning processes, organizations need to consider how such risks and opportunities may evolve and what the potential implications may be under different conditions. One way to do this is through using climate-related scenario analysis.

Performance Summary	
Question Level Company Performance	100
Question Weight	13
Year-on-Year Change	100
Industry Average Score	22
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Scenario analysis: is a strategic planning tool to help an organization understand how it might perform in different future states. It is a tool to enhance critical strategic thinking by challenging 'business-as-usual' assumptions and instead exploring alternatives based on their relative impact and likelihood of occurrence (i.e. critical uncertainties).

Common climate-related scenarios are based on exposure to either transition risk pathways or physical risks.

- **Transition risk:** pathway scenarios consider how an organization is impacted by changes to policy/regulation, technology or market changes aimed at emissions reductions, energy efficiency, subsidies/taxes or other constraints or incentives implemented to facilitate a low carbon economy (for example, the 'well below 2°C' goal committed to by the Paris Agreement).
- **Physical risk:** scenarios assess the impact of acute or chronic physical change related to climate change such extreme weather, rising sea levels, water shortage, etc.

Scenarios: are stories that have been methodically developed for the future, and aim to shed light on the decisions that we need to make today. A scenario describes a potential path of development that will lead to a particular outcome or goal. Scenarios are not forecasts or predictions.

Data Requirements

If your company conducts a scenario analysis and uses **another method,** then please describe the 3 following elements:

- Parameters used (e.g., discount rate, GDP, other macro-economic variables etc.)
- Assumptions Made (e.g., assumptions related to policy changes, technology development/deployment, energy mix, price of key commodities or inputs, geographical tailoring of transitional and physical impacts, and timing of potential impacts)
- Description of the different scenarios with time horizons set

Anticipate doing so in the next 2 years: There is active consideration of conducting a scenario analysis within 24 months of the deadline for completing the questionnaire.

References

TCDF (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities

CDP (2017), CDP Technical Note on Scenario Analysis – Conducting and disclosing scenario analysis

This question refers to **CDP questions C3.1a and C3.1d** and **TCFD** recommendation **Strategy (b).**

The questions in this criterion have been developed in alignment with the CDP (http://www.cdp.net/).

Data View

No information was found in the public domain.

Questionnaire

Does your organization use climate-related scenario analysis to inform your business strategy?

1. ○ Yes, we use climate-related scenario analysis to inform our business strategy
   1. ○ Yes, qualitative
   2. ○ Yes, quantitative
   3. ○ Yes, qualitative and quantitative

   Please specify the **primary** climate-related scenario analysis used by your organization:
   Please select
2. ○ No, but we anticipate doing so in the next two years
3. ○ No, and we do not anticipate doing so in the next two years
4. ○ Not applicable. Please provide explanations in the comment box.
5. ○ Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.